

As you know, regular investments are a good habit, but it is equally important where you invest. Out of the various investment options like equity, gold, savings a/c, PPF, FD, it is Equity that has proven to create wealth over and above others, provided one invests for the long term.

For example, if you had invested a fixed amount on the 1st of every month for the last 15 yrs (1st April 1994 to 1st February 2010), your returns across various asset classes would have been as follows:

Investment Option	Fixed Deposits (FD)	Gold	BSE Sensex
% Returns	9.37%	14.65%	15.60%

Computation: Internal. Source for Interest rates: For Fixed Deposits: Reserve Bank of India archives, www.rbi.org.in from 1st April 1994 to 30th April 2009. State Bank of India, www.sbi.co.in, from 1-May 09 to 28 Feb 10. For BSE Sensex: www.bseindia.com. For Gold: Bloomberg. The above rate of returns are for the purpose of better understanding only and do not indicate a promise /guarantee of the same returns being sustained in the future.